

Notes: Gomes, Haliassos & Ramadorai (RFS, 2026)

New Frontiers in Household Finance

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1 Big picture

- **Purpose of the paper.** The paper is an introduction to a Review of Financial Studies special issue on household finance. Rather than offering a full literature survey, it uses the special-issue papers to organize recent directions and unresolved questions in the field.
- **Central object.** Household finance studies how households make saving, borrowing, investing, insurance, mortgage, retirement, and debt-management decisions, and how these choices interact with financial institutions and policy.
- **Why the field is growing.** The paper emphasizes three drivers: more granular data on individual financial decisions, innovative methods to generate or process such data, and structural models that connect empirical facts to welfare and policy counterfactuals.
- **Organizing framework.** The paper organizes new work around six themes: preferences, beliefs/knowledge/advice, inaction, heterogeneity in advice, normative models of savings and retirement, and co-holding of assets and debts.
- **Methodological theme.** The frontier of household finance increasingly combines administrative data, surveys, field experiments, qualitative interviews, machine learning/AI-assisted text or interview analysis, and structural models.
- **Substantive theme.** Many household choices cannot be understood by observing age, income, wealth, and prices alone. Preferences, beliefs, narratives, financial advice, household bargaining, institutional frictions, and market power all matter.
- **Policy theme.** Better household finance policy requires diagnosing the underlying friction. The same observed behavior—such as inaction or co-holding—can reflect rational constraints, market power, self-control, limited attention, mental accounting, or bad advice.
- **Takeaway.** The paper argues that the next generation of household finance research should connect positive models of behavior with normative models and policy design while taking heterogeneity seriously.

2 Incremental contribution of this paper

2.1 Contribution relative to standard household-finance reviews

- **Not a broad textbook survey.** The article does not attempt to summarize all of household finance; the authors already produced a major review in 2021. The contribution is a selective, forward-looking agenda for the next frontier of the field.
- **Theme-based synthesis.** The paper maps special-issue articles into a coherent research program: preferences, beliefs and narratives, inaction, advice-market heterogeneity, normative retirement design, and debt/asset co-holding.
- **Integration of demand and supply.** Earlier household finance work often emphasized household mistakes or participation puzzles. This essay repeatedly stresses two-sided market structure: household demand interacts with advisors, banks, brokers, pension systems, fintech platforms, and insurance providers.
- **Attention to heterogeneity.** The article places heterogeneity at the center: heterogeneous preferences, heterogeneous beliefs, heterogeneous advisor quality, heterogeneous inertia, and heterogeneous policy impacts.
- **Bridging positive and normative work.** The authors highlight a movement from documenting puzzles toward welfare-relevant policy design—for example, optimal savings-rate rules, retirement decumulation products, and advice-market regulation.
- **Research-design contribution.** The essay emphasizes modern tools that were less central in older surveys: linked survey-administrative data, transaction-level financial aggregation data, online information

experiments, structural estimation with unobserved primitives, and qualitative/AI-assisted evidence on household narratives.

2.2 What is new about the special issue agenda

- **Preferences are estimated, not assumed.** Laibson et al. estimate present bias and discounting using a lifecycle model; Gu, Peng, and Zhang infer intra-household bargaining weights from portfolio choices.
- **Beliefs are treated as objects of measurement and treatment.** Laudenbach et al. elicit beliefs about return autocorrelation and experimentally correct them.
- **Inaction is connected to market power and redistribution.** Belgibayeva et al. and Basten and Juelsrud show that household inertia can create direct private costs and cross-subsidies to more active households.
- **Financial advice is modeled as a heterogeneous production process.** The essay moves beyond the average effect of advice and asks how advisor quality, matching, steering, and local labor markets produce unequal advice.
- **Retirement policy is made operational.** Schlafmann, Setty, and Vestman turn consumption-savings theory into implementable age- and wealth-dependent savings-rate rules.
- **Digital exhaust changes debt research.** Gathergood and Olafsson use high-frequency account-level data to study the duration and size of co-holding, turning a static puzzle into a dynamic behavior.

Incremental contribution: The paper’s incremental value is synthetic and agenda-setting. It converts a set of special-issue papers into a map of the field, identifies common methodological trends, and highlights where better data and structural models are needed for policy design.

3 Data and measurement

3.1 No original empirical dataset

This is a review/introduction article. It does not build a new primary dataset, estimate original regressions, or present original tables/figures. Its “data” are the papers in the special issue and the surrounding literature used to interpret them.

Interpretation: This matters for reading the paper. The appropriate standard is not whether the authors identify a new causal effect, but whether they organize recent evidence into a persuasive research agenda.

3.2 Data paradigms emphasized by the paper

1. **Representative surveys.** Examples include the Survey of Consumer Finances and official household surveys in Australia, Germany, the United States, and Sweden.
2. **Administrative financial data.** Examples include bank-account panels, mortgage administrative data, retirement-account data, loan-officer records, and account aggregation platforms.
3. **Linked survey-administrative data.** These data make it possible to connect beliefs, preferences, or expectations elicited in surveys to actual trades, portfolios, refinancing, or consumption.
4. **Online field experiments and information treatments.** These experiments randomize information or reminders to measure belief updating, inattention, or action costs.
5. **Structural models.** The paper highlights structural lifecycle, mortgage choice, retirement saving, and household-risk models that separate observed characteristics from latent preferences, beliefs, and frictions.

6. Qualitative and AI-assisted evidence. The paper points to open-ended surveys, interviews, and algorithmic analysis of narratives as ways to measure households’ self-understanding and financial identities.

Interpretation: The field is moving toward richer measurement of latent variables: preferences, beliefs, attention, bargaining power, narratives, and decision frictions.

3.3 Measurement objects across the six themes

Theme	Core measurement object	Why it matters
Preferences	Discount factors, present bias, risk aversion, EIS, loss aversion, bargaining weights	These primitives drive saving, borrowing, portfolio choice, and intra-household risk taking.
Beliefs and narratives	Expected returns, perceived return autocorrelation, market participation narratives, perceived ability	Beliefs can affect trading, asset allocation, and market participation; narratives may shape whether households think investment is “for people like me.”
Inaction	Failure to refinance, failure to switch banks or deposits, slow response to reminders	Inaction can be individually costly and can generate market power or regressive cross-subsidies.
Financial advice	Advisor quality, misconduct, steering, product choice, matching between households and advisors	Advice can improve or worsen decisions, and heterogeneity in advisor quality can amplify inequality.
Retirement models	Optimal saving rates, account balances, age profiles, retirement products, annuities, long-term care insurance	Normative models translate theory into plan design and welfare calculations.
Co-holding	Simultaneous liquid assets and high-cost debt at high frequency	Co-holding may reflect mental accounting, self-control, liquidity risk, or cognitive frictions.

4 Conceptual framework and model primitives

4.1 A household-finance decision map

A useful reduced-form way to read the paper is to view a household action a_{it} as the outcome of preferences, beliefs, constraints, advice, attention, and institutions:

$$a_{it} = A(\theta_i, b_{it}, x_{it}, s_{it}, I_{it}, \mathcal{M}_{it}),$$

where θ_i denotes preferences, b_{it} beliefs and narratives, x_{it} resources and constraints, s_{it} advice and social information, I_{it} attention or inaction costs, and $\mathcal{M}_{it}$ market/institutional environment.

Interpretation: The paper’s organizing point is that household choices are not reducible to demographics and prices. Many important state variables are latent and must be inferred from behavior, elicited from surveys, or disciplined by structural models.

4.2 Preferences: time, risk, and household bargaining

The article highlights several preference models.

Present bias.

$$U_t = u(c_t) + \beta \sum_{s=1}^{\infty} \delta^s u(c_{t+s}).$$

In Laibson et al., δ captures exponential patience, while $\beta < 1$ captures present bias. Their estimates combine a high exponential discount factor with substantial present bias.

Epstein-Zin preferences. These separate time preference, risk aversion, and elasticity of intertemporal substitution. The paper emphasizes that cross-sectional heterogeneity in these parameters is central for explaining portfolio and saving behavior.

Household bargaining.

$$RA_h = \omega_m RA_m + (1 - \omega_m) RA_f,$$

where RA_h is household risk aversion, RA_m and RA_f are partner risk aversions, and ω_m is a male bargaining weight that can depend on characteristics and gender norms.

Interpretation: Preferences are not just individual parameters. Household portfolio choices may reflect bargaining between members whose weights depend partly on norms.

4.3 Beliefs, knowledge, and narratives

The paper distinguishes beliefs about returns from beliefs about the household's own ability to act on returns. A household may believe the stock market has high expected returns but still avoid participation if its narrative is that successful investment is for others.

$$Action = f(ExpectedReturn, PerceivedPredictability, SelfEfficacy, MoralIdentity, Attention).$$

Interpretation: This is a major frontier: belief surveys should measure not only numerical expectations but also financial self-concepts and narratives.

4.4 Inaction and switching costs

Household inaction can be represented as a choice not to act when the perceived benefit falls below an action cost:

$$Act_{it} = 1\{B_{it}^{perceived} - C_{it}^{action} > 0\}.$$

But the paper stresses that C_{it}^{action} can reflect liquidity constraints, search cost, time cost, cognitive cost, or strategic waiting.

Interpretation: Observed inaction is not automatically a mistake. The research challenge is to distinguish rational option value from limited attention or cognitive friction.

4.5 Advice and market structure

Advice outcomes depend on the match between household h , advisor j , and institution k :

$$ProductChoice_h = g(HouseholdTraits_h, AdvisorBeliefs_j, AdvisorIncentives_j, Institution_k, MarketOptions_h).$$

Interpretation: This object is two-sided. Financial advice is not simply a household information treatment; it is produced by firms and workers with incentives, beliefs, and labor-market sorting.

4.6 Normative retirement design

A savings-rate rule can be summarized as:

$$s_{it}^* = S(\textit{age}_{it}, \textit{balance}_{it}/\textit{income}_{it}, \textit{incomeRisk}_{it}, \textit{assets}_{it}, \textit{policyRules}_t).$$

The paper highlights the normative prediction that contribution rates should rise with age but fall with accumulated retirement balance relative to income.

Interpretation: Retirement saving policy should be state-contingent rather than based on one-size-fits-all default rates.

4.7 Co-holding of assets and debts

Co-holding can be written as:

$$\textit{CoHold}_{it} = 1\{\textit{LiquidAssets}_{it} > 0, \textit{HighCostDebt}_{it} > 0\}.$$

The puzzle is that households could repay debt using liquid assets. The paper reviews explanations based on cash-goods needs, self-control, precautionary borrowing, credit record building, and mental accounting.

Interpretation: High-frequency data change the question from “who co-holds at a point in time?” to “how long does co-holding last, and what exactly does it cost?”

5 Section-by-section detailed notes

5.1 1. Preferences

Read:

- The paper opens with household preferences as a central but unobserved determinant of saving, borrowing, investment, and insurance.
- Laibson et al. estimate a lifecycle model with liquid and illiquid assets, borrowing against future labor income, exponential discounting, and present bias.
- They estimate a high exponential discount factor around 0.99 and strong present bias around $\beta = 0.53$; a pure exponential model would match wealth accumulation but not credit-card debt.
- The discussion connects this result to Ganong and Noel and to broader work on heterogeneous time preferences.
- The section also reviews Epstein-Zin preferences, loss aversion, narrow framing, and intra-household bargaining.
- Gu, Peng, and Zhang structurally estimate household risk aversion as a weighted average of partner risk aversions, with weights affected by characteristics and gender norms.

Interpretation: The section's main message is that preference heterogeneity is not residual noise. It is a central object of measurement and structural modeling.

Economic message: If households differ in time preference, present bias, risk aversion, EIS, loss aversion, and intra-household bargaining power, then financial policies and defaults will have heterogeneous welfare effects.

5.2 2. Beliefs, Financial Knowledge, and Financial Advice

Read:

- The paper reviews work linking subjective return expectations to portfolio choice and trading.
- Giglio et al. document large and persistent heterogeneity in beliefs among affluent investors.
- Laudenbach et al. run an online field experiment with about 2,000 German retail investors, eliciting beliefs about return autocorrelation and then randomly providing information on historical predictive power.
- Approximately half of the investors believe in negative autocorrelation and about one-quarter believe in positive autocorrelation.
- Information showing little historical return predictability moves beliefs and has persistent effects after four weeks.
- The paper broadens the concept of beliefs to include narratives: whether people think stock investing is for people like them, whether they believe they are skilled enough, or whether they see investment as morally acceptable.

Interpretation: This section moves from numerical expectations to financial identity and self-efficacy. Households may know expected returns yet still not act if they do not believe they can exploit them.

Economic message: Financial education and disclosure may need to target narratives and perceived ability, not just information about average returns.

5.3 3. Inaction

Read:

- The paper describes household inaction as a pervasive puzzle in mortgage refinancing, retirement saving, portfolio rebalancing, and insurance lapsation.
- Belgibayeva et al. show that U.K. borrowers often fail to refinance even when rates become substantially worse. They also uncover a rational option-value motive for liquidity-constrained borrowers to wait before refinancing, but still find especially costly inaction among low-income borrowers.
- The missed savings in their U.K. sample average about 5% of gross income.
- The paper links household inaction to regressive cross-subsidies: inactive low-income borrowers may support teaser/base rates that benefit savvier high-income households.
- Basten and Juelsrud study Norway's deposit and loan relationships and show that bank relationship stickiness lowers deposit rates and raises loan premia.
- The section emphasizes that inaction gives financial providers market power over sleepy customers.

Interpretation: The key insight is that inaction is not only a household mistake; it changes equilibrium pricing in household financial markets.

Economic message: Household inertia can be redistributive. Sophisticated households may benefit from products subsidized by passive households who fail to switch or refinance.

5.4 4. Heterogeneity in Financial Advice

Read:

- The paper reviews evidence that financial advice often has negative average effects on portfolio performance and that misconduct is not always punished by permanent exit.
- It then moves from average advice quality to heterogeneity in advisors, clients, matches, and incentives.
- Allen et al. study Canadian mortgages and distinguish selection into brokers from brokers' direct steering effects.
- They find that slightly less than one-third of broker clients choose costlier mortgage products than they would have through a bank branch, but less than half of that is directly attributable to broker influence.
- Huang et al. study U.S. mortgage loan officers and find poorer advice quality in lower-income areas, using measures such as misconduct, early foreclosures, and CFPB complaints.
- The section concludes that advisor labor markets and advisor-firm allocation can reinforce inequality in personal finance markets.

Interpretation: This section highlights supply-side inequality: household finance outcomes depend not only on household ability but also on which advisors and institutions households face.

Economic message: Better regulation requires understanding selection, steering, and labor allocation in financial intermediation, not merely disclosing products more clearly.

5.5 5. Normative Models of Savings and Retirement

Read:

- The paper turns from positive behavior to normative design, especially retirement saving and decumulation.
- Schlafmann, Setty, and Vestman extend lifecycle models to optimal retirement contribution rates.
- Optimal contribution rates should rise with age and fall with the balance-to-income ratio.
- Swedish data show behavior broadly consistent with these features, but with substantial heterogeneity and many hand-to-mouth households staying near mandated contribution shares.
- The authors propose implementable savings rules and show through a calibrated model that these rules generate welfare gains and reduce dispersion in retirement outcomes.
- The section also reviews retirement spillovers from defined contribution plans, postretirement asset decumulation, long-term care insurance, annuities, reverse mortgages, housing, health shocks, and bequest motives.

Interpretation: This section is the most normative. It asks how plans should be designed if households do not naturally choose optimal savings profiles.

Economic message: Better default design requires state-contingent rules. Constant contribution rates are too crude because optimal saving changes with age, income risk, and accumulated balances.

5.6 6. Co-Holding of Assets and Debts

Read:

- The paper reviews the puzzle of households holding liquid assets while simultaneously paying interest on high-cost debt.
- Gathergood and Olafsson use high-frequency Icelandic financial aggregation data to observe balances and overdrafts at granular frequencies.
- Co-holding is common when measured over a month but short lived at the individual-day level.
- Median co-holding duration is about 10 days, and most individuals do not incur large interest costs.
- Co-holding is not strongly concentrated among demographic groups and is not clearly linked to income, employment, or health shocks.
- The authors propose mental budgeting as a plausible explanation, while Medina and Pagel's evidence from a savings nudge is more consistent with self-control or partner-control mechanisms.

Interpretation: The section shows how high-frequency data can change the interpretation of a long-standing puzzle. Static co-holding may look like a large mistake, while dynamic co-holding may be small, short-lived, or tied to account-specific mental budgeting.

Economic message: The same balance-sheet snapshot can represent very different behaviors: cognitive error, commitment, precautionary borrowing, mental accounting, or planned liquidity management.

6 Paper-by-paper map of the special issue

Paper/theme	Method/data	Main message	Open question
Laibson et al. (preferences)	Structural lifecycle model with SCF wealth and credit-card borrowing	Present bias plus high long-run patience helps match wealth and debt jointly	How do present bias and self-control interact in multi-person households?
Gu, Peng, and Zhang (household bargaining)	Revealed-preference portfolio model across countries	Gender norms and characteristics shape bargaining weights in household risk-taking	How do financial and consumption decision rights differ inside households?
Laudenbach et al. (beliefs)	Survey experiment linked to trading records	Beliefs about return autocorrelation are heterogeneous and malleable	How do narratives and perceived ability affect participation beyond expected returns?
Belgibayeva et al. (mortgage inaction)	U.K. administrative mortgage data and model	Some waiting is rational, but costly inaction remains, especially for low-income borrowers	How much inaction is cognitive error versus option value?
Basten and Juelsrud (bank stickiness)	Norwegian bank relationship data	Inertia grants banks market power over deposits and loans	How does inertia affect aggregate monetary transmission and bank risk?
Allen et al. (mortgage brokers)	Structural model of channel choice and product choice	Broker clients often prefer risky mortgages; steering exists but is not the whole story	How should regulation balance steering against access to desired products?
Huang et al. (loan officers)	U.S. mortgage loan officer data	Advice quality is lower in poorer areas; misconduct is less punished there	How do firm assignment and labor markets create advice inequality?
Schlafmann, Setty, and Vestman (retirement saving)	Swedish administrative data and lifecycle model	Savings rates should rise with age and fall with balance/income	How should plans implement state-contingent defaults?
Gathergood and Olafsson (co-holding)	Icelandic high-frequency account aggregation data	Co-holding is often short-lived and consistent with mental budgeting	How can we distinguish mental budgeting from commitment motives?

7 Theoretical and empirical design lessons

7.1 Lesson 1: Measurement of latent primitives is now central

Household finance increasingly requires estimating unobserved variables: discounting, present bias, risk aversion, EIS, beliefs, narratives, self-efficacy, advice quality, and attention. The frontier is not only larger datasets, but better measurement of what households know, believe, and value.

7.2 Lesson 2: Household finance is a two-sided market problem

Household decisions are shaped by intermediaries. Mortgage brokers, banks, advisors, fintech platforms, pension plans, and insurance providers respond strategically to household inertia and heterogeneity.

7.3 Lesson 3: Policy must diagnose the friction

The same observed behavior can have many explanations. Failure to refinance can reflect option value, liquidity constraints, inattention, or cognitive error. Co-holding can reflect mental accounting, self-control, partner control, liquidity risk, or credit-score motives. Policy should not treat all deviations from textbook behavior as mistakes.

7.4 Lesson 4: Normative models need empirically disciplined heterogeneity

Optimal savings rules and retirement products depend on household state variables and preferences. A default that is good on average may be bad for constrained or hand-to-mouth households.

8 Table/figure note

The original article is a review/introduction essay and contains no original tables or figures. Therefore, unlike empirical papers in the previous notes, there are no paper figures or tables to crop. The visual or table-like material in these notes is constructed in LaTeX as summary tables to organize the article's themes; it is not an extracted original exhibit.

9 Interpretive synthesis

- **The field's frontier is latent-state measurement.** Household choices depend on preferences, beliefs, narratives, and attention that are not directly visible in administrative records.
- **Granular data changes old puzzles.** High-frequency account data can turn static balance-sheet puzzles into dynamic behavioral patterns.
- **Advice and inaction are market-structure issues.** Personal finance firms exploit or mitigate household frictions, so household mistakes become equilibrium pricing and cross-subsidy problems.
- **Structural models are increasingly necessary.** They allow researchers to separate preferences from constraints, selection from treatment, and welfare-improving advice from steering.
- **Policy should be matched to friction.** Nudges, disclosure, regulation, default design, or product redesign are useful only if they target the relevant mechanism.

10 Short summary

- The paper introduces a special issue on household finance and organizes it around six research frontiers.
- Preferences research now estimates present bias, EIS, risk aversion, and intra-household bargaining weights rather than assuming them.
- Beliefs research increasingly uses surveys and field experiments linked to administrative actions.
- Inaction research shows that household inertia can be privately costly and can generate market power and redistribution.
- Advice research is moving from average advice quality to heterogeneity in advisor-client matching, steering, and labor allocation.
- Normative retirement models are moving from portfolio allocation to state-contingent contribution-rate design and retirement decumulation.

- Co-holding research is transformed by high-frequency account data that measure duration and actual costs.
- The paper’s incremental contribution is an agenda-setting synthesis that connects these themes and highlights open questions.

11 Conclusion

11.1 Core conclusion

Gomes, Haliassos, and Ramadorai argue that household finance is entering a new phase: richer data and models now allow researchers to study preferences, beliefs, narratives, advice, inaction, and institutional frictions at a much finer level than before.

11.2 Economic intuition

Households face complex choices with limited attention, imperfect beliefs, multiple decision-makers, and heterogeneous preferences. Financial firms and institutions design products and advice around those frictions. Therefore, household finance must be studied as an interaction between household behavior and market supply.

11.3 Incremental contribution in one sentence

The article’s contribution is to transform a special issue into a forward-looking research map, emphasizing that the next frontier in household finance is measuring latent household states and supply-side interactions well enough to design welfare-improving policy.

11.4 Takeaway

The field is moving from documenting puzzles to diagnosing mechanisms and designing policy. The best future research will combine administrative data, experiments, surveys, qualitative evidence, and structural models to separate rational behavior from frictions and to build targeted interventions.